BEC2370

MACROECONOMICS

Year II, Semester I, 2026

Introduction to the Course

Department of Business Economics
Faculty of Management Studies and Commerce
University of Sri Jayewardenepura

Course Coordinator:

Mr. Asel Hettiarachchi

Team of Lecturers:

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Prof. U. Anura Kumara

Ms. Thilini Saparamadu

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Ms. Oshadhie Silva

Team of Tutorial Lecturers:

Ms. Dinithi Sathsarani

Mr. Binura Shaminda

Prerequisites

Business Mathematics and Microeconomics

Recommended Reading

Mankiw, N. G. (2016). *Macroeconomics* (9th ed.). Worth Publishers.

Dornbush, R., Fischer, S., & Startz, R. (2004). *Macroeconomics* (9th ed.) McGraw-Hill.

Teaching Method

Lectures
Tutorials

Evaluation

Continuous Assignment (Presentation)	: 30%
Final Exam	: 70%

Special Attention

Attendance and active participation
Discipline
Punctuality
Pre-preparation

Outline of Macroeconomics Course

- The Science of Macroeconomics
- IS-LM Analysis
- Fiscal and Monetary Policy
- Aggregate Demand-Aggregate Supply Analysis
- Inflation and Unemployment
- Equilibrium of Open Economy

Group Assignment – Analysis of Macroeconomic Conditions in a Selected Country

Allocated Marks: 30

- Macroeconomic Dashboard : 15 Marks
- Presentation Delivery (In-class) : 15 Marks

Assignment Overview

This group assignment requires students to develop an online macroeconomic dashboard for an assigned country, outlining key economic trends over the recent past. The dashboard should present and analyse core macroeconomic indicators, including inflation, unemployment, interest rates, exchange rates, and real sector performance, using reliable data and credible sources.

The dashboard must be created using an online data visualisation platform, enabling interactive presentation of macroeconomic indicators. Students may use tools such as Google Looker Studio, Tableau, Microsoft Power BI, or similar online dashboard tools, depending on their familiarity and access.

Students are expected to interpret the observed trends within a selected macroeconomic sector (fiscal, monetary, or external) and assess the overall macroeconomic conditions of the assigned economy. Attention should be given to identifying key patterns, structural shifts, and policy-relevant developments reflected in the data.

(Further instructions will be discussed during tutorial sessions.)

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Session 1

The Science of Macroeconomics

Department of Business Economics
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Session Outline

- Macroeconomics vs. Microeconomics
- Why management students should learn Macroeconomics?
- Topical Issues discussed in Macroeconomics
- What Macroeconomists study?
- Economic Theories and Economic Models
- Flexible Prices vs. Sticky Prices

Macroeconomics vs. Microeconomics

"Macroeconomics is concerned with the behavior of the economy as a whole—with booms and recessions, the economy's total output of goods and services, the growth of output, the rates of inflation and unemployment, the balance of payments, and exchange rates."

(Dornbusch et al., 2011)

"Microeconomics study the behavior of individual economic units, such as households and firms, or the determination of prices in particular markets."

(Dornbusch et al., 2011)

Why management students should learn Macroeconomics?

Macroeconomics affects:

- **Your well-being**
- **Society's well-being**
- **Business decisions**
- **Policy decisions**

Unemployment and earnings growth

Investments in luxury projects

Inflation and declining purchasing power

Economic growth vs. environment

Interest rates and mortgage payments

Unemployment and social problems

Topical Issues discussed in Macroeconomics

Examples:

- Why should senior citizens living on fixed incomes predict the speed at which prices will rise?
- Why do business executives need to predict the rate at which per capita income will rise?
- Why should recent college graduates seeking employment project the economic growth?
- Why are so many countries poor while some other countries rich? What policies might help them grow out of poverty?
- How does population aging affect economic performance and what policy can help?
- What causes recessions? What is “government stimulus” and why might it help?
- How to design an appropriate pension system and how does it affect a country’s well-being?

What Macroeconomists Study?

- Economists use many types of data to measure the performance of an economy.
- Three macroeconomic variables are especially important:
  - Real Gross Domestic Product (GDP) (measures the total income of everyone in the economy after adjusting for the level of prices)
  - Inflation Rate (measures how fast prices are rising)
  - Unemployment Rate (measures the fraction of the labour force that is out of work)
- Macroeconomists study **how these variables are determined**, **why they change over time**, and **how they interact with one another**.

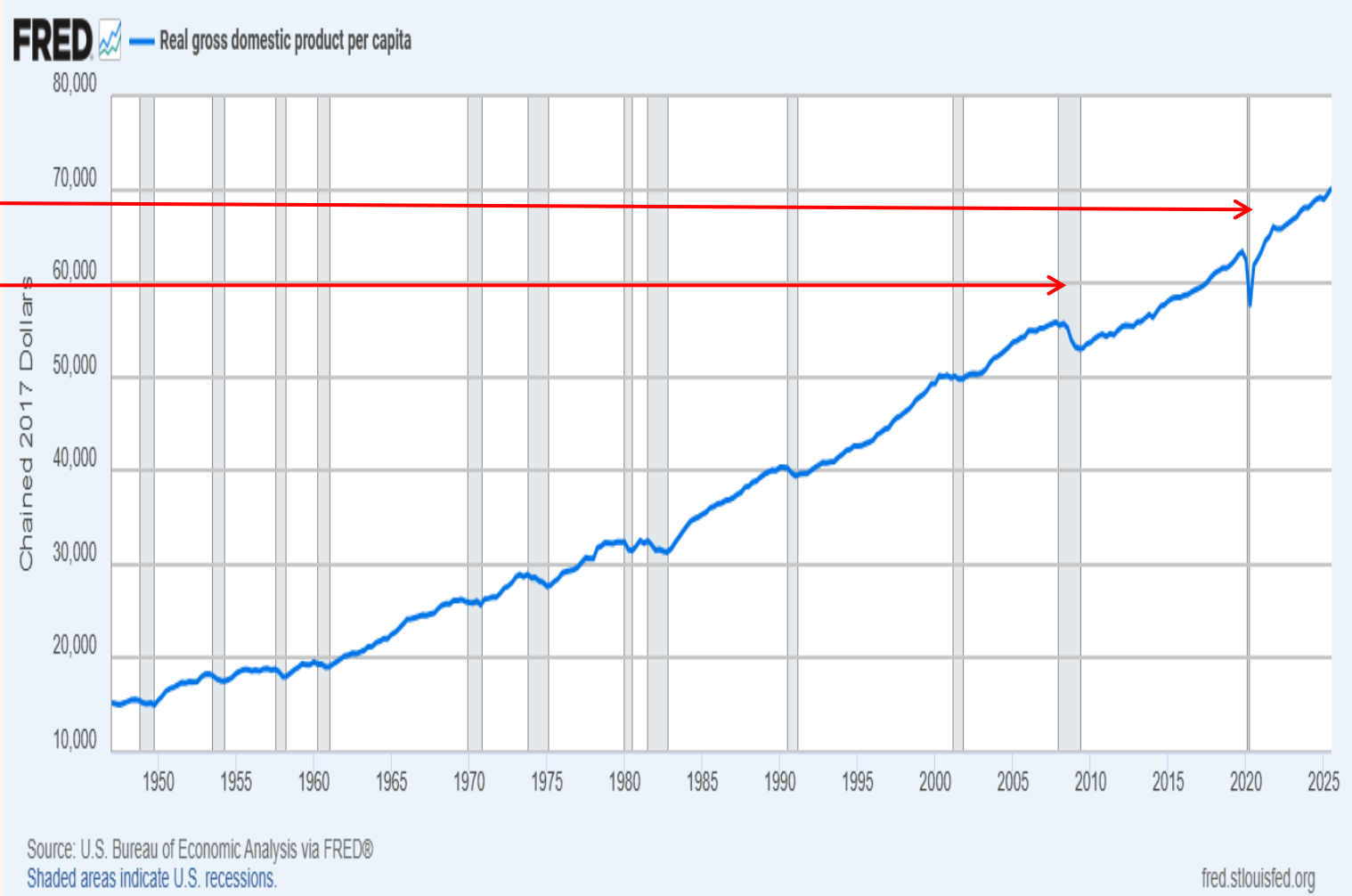
What Macroeconomists Study? (Cont.)

Covid-19 (2020)

Global financial crisis (2007-09)

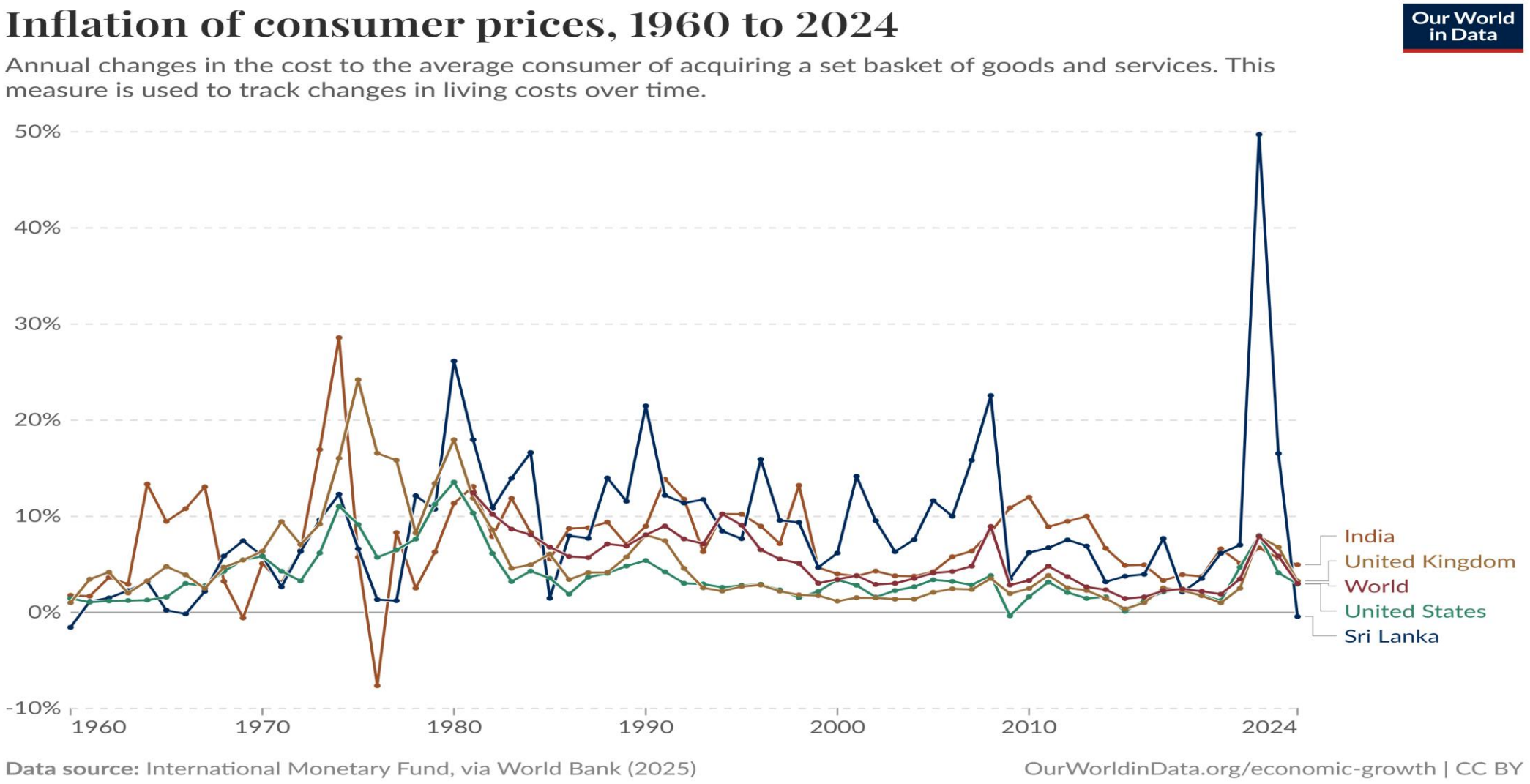
Recessions: A sustained period of falling real income (called depressions if the fall is more severe).

Real GDP per Capita in the US, Quarter 1 in 1947 – Quarter 2 in 2025



Source: US Bureau of Economic Analysis (2025) https://fred.stlouisfed.org/series/A939RX0Q048SBEA

What Macroeconomists Study? (Cont.)



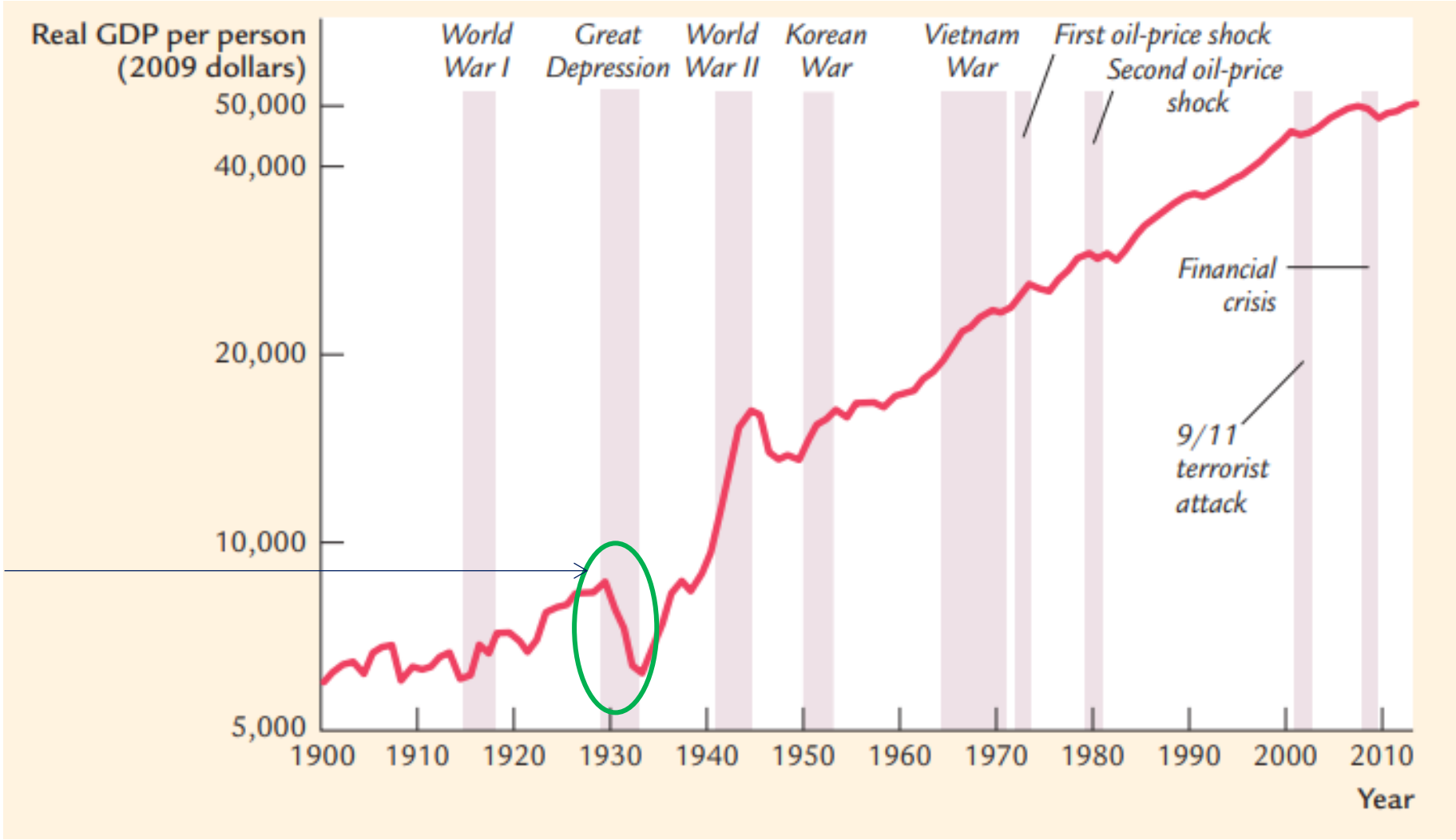
Data Source: Our World in Data (2025) https://ourworldindata.org/grapher/inflation-of-consumer-prices?tab=chart

What Macroeconomists Study? (Cont.)

Data Source: Our World in Data (2025) https://ourworldindata.org/grapher/unemployment-rate?tab=chart

What Macroeconomists Study? (Cont.)

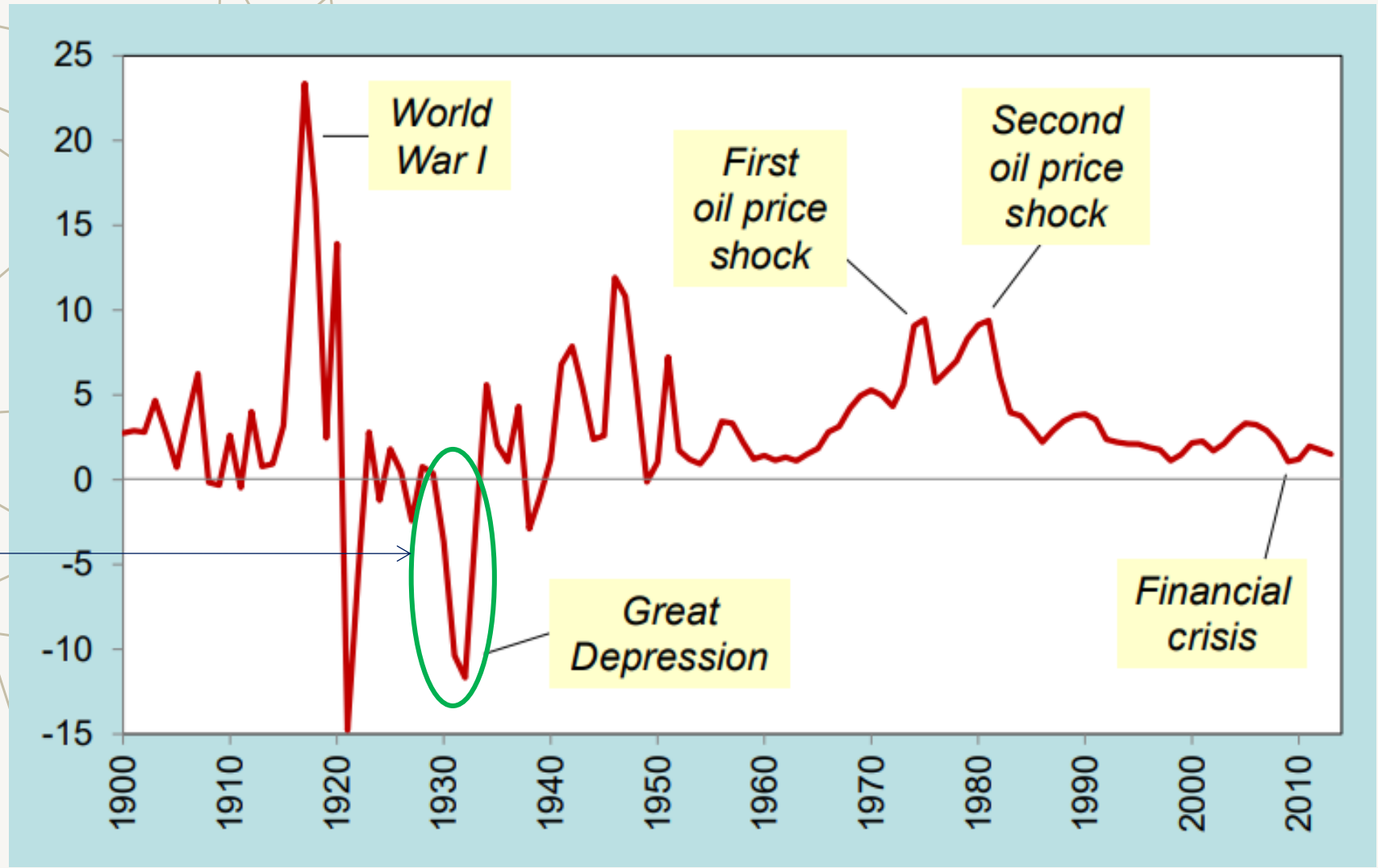
Great depression (1929–1939)



What Macroeconomists Study? (Cont.)

Inflation Rate in the US (% Per Year)

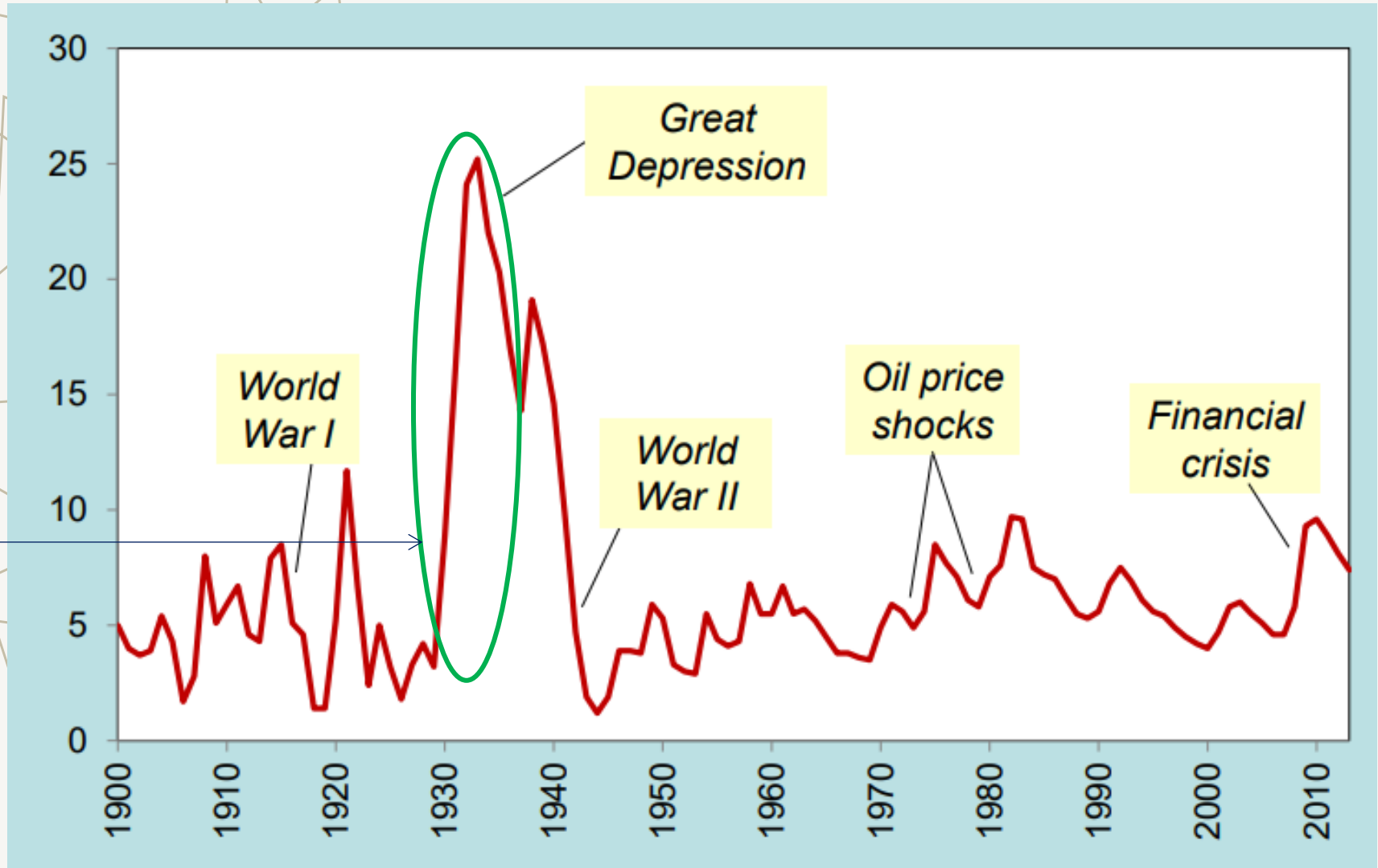
Great depression
(1929–1939)



What Macroeconomists Study? (Cont.)

Unemployment Rate in the US (% of Labour Force)

Recessions and depressions are associated with unusually high unemployment.



Great depression (1929–1939)

What Macroeconomists Study? (Cont.)

Macroeconomic history is not a simple story, but it provides a rich motivation for macroeconomic theory.

- Making economic policies is the job of politicians.
- However, the **job of explaining the function of the economy belongs to macroeconomists**.
- Macroeconomists collect data on incomes, prices, unemployment, and many other variables over time periods and across countries.
- Then they formulate general theories to explain the behaviour of the variables.
- Macroeconomists **cannot conduct controlled experiments** in a laboratory; instead, they use **past data**.

Economic Theories and Economic Models

Economic Theories

- Economic theory is an established **relationship between economic variables**.

In particular, theories explain **cause and effect relationships** among variables.

Theory of Demand

Inverse relationship between price and quantity demanded.

Human Capital Theory

Positive relationship between investment in education and personal income.

Economic Models

- Models illustrate the **most important elements** that explain how the whole economy works.
- Models are based on **assumptions**, which cut off details unimportant for the analysis of a certain economic process or phenomenon and **reduce the complexity** of economic behavior.
- Models present the economic behavior as a **relationship between a dependent variable and a few independent variables**.

Example of a Model: Supply & Demand for Pizza

Example of a Model: Supply & Demand for Pizza

- Shows how various factors affect price and quantity of pizza
- Assumes the market is competitive: Each buyer and seller is too small to affect the market price

Demand equation: $Q^d = D(P, Y)$

Supply equation: $Q^s = S(P, P_m)$

Variables

Q^d	: Quantity of pizza that buyers demand
Q^s	: Quantity that producers supply
P	: Price of pizza
Y	: Aggregate income
P_m	: Price of materials (inputs, such as flour and cheese)

Endogenous vs. Exogenous Variables

- The values of endogenous variables are determined in the model.
- The values of exogenous variables are determined outside the model, i.e., the model takes their values and behavior as given.
- In the model of supply & demand for pizza,

  Endogenous: P, Q^d, Q^s

  Exogenous: Y, P_m

Flexible Prices vs. Sticky Prices

- **Market clearing**: An assumption where prices and wages move quickly (**flexible**) to bring quantity supplied and quantity demanded into a balance
- In the short run, many prices are **sticky**—adjust sluggishly in response to changes in supply or demand. For example:
  - Many labor contracts fix the nominal wage for a year or longer.
  - Many magazine publishers change prices only once every 3 to 4 years.
- Prices are not stuck forever; eventually, they adjust to changes in supply and demand.

Flexible Prices vs. Sticky Prices (Cont.)

- **Price flexibility** is a good assumption for studying **long-run issues** (growth in real GDP that we observe from decade to decade).
- If prices are flexible (long-run), markets clear and economic behaviors may change.
- **Price stickiness** is a better assumption for studying the **short-run behavior** of the economy.
- If prices are sticky (short-run), demand may not equal supply, which explains:
    - unemployment (excess supply of labor)
    - why firms cannot always sell all the goods they produce

THANK YOU

"Recognise and respect unique qualities of individuals"
Tolerance of individual differences and diversity with appreciation

Equality Policy of University of Sri Jayewardenepura